28 Oct 2026 09:15:42 ET | 15 pages

UMC (2303.TW)

AI growth and pricing uptrend

CITI'S TAKE

UMC's 2Q26 earnings were below ours and Street's estimates due to non-operating loss. Yet GM/OPM of 34%/25% were largely in-line with consensus but lower than our estimate with OP of NT$18.6bn (up 25% QoQ, 68% YoY). The company expects low single digit QoQ wafer shipment growth and ASP to remain firm into 4Q26. We keep our Buy rating with TP higher to NT$143 reflecting better UTR and pricing outlook into 2027.

10% blended ASP increase into next year — UMC expects blended ASP to rise about 10% year over year in 2027; The improvement reflects both a firmer pricing environment and a richer mix, with inflation and higher costs also part of customer discussions. Management expects pricing to begin improving in Q1, but higher depreciation and material costs may limit GM expansion. The company expects better profitability for its new business; however, depreciation is expected to grow at a high-single-digit rate or more in 2027, with further increases possible in 2028. Management aims to maintain healthy EBITDA margins and overall profitability. We are looking for steady GM and EBITDA expansion margin trend ahead.

25% revenue contribution coming by 2029 — UMC previously mentioned that its AI-related revenue to reach US$300mn in 2026 and exceed US$1bn within 3 years. The management further elaborates planned monthly capacity of about 18K wafers for silicon photonics, 22K for silicon capacitors and 20K for modulators, with initial installations from late 2028 and planned scale by 2030. Management said expansion is tied to customer commitments and sees AI-related revenue rising from about US$300m in 2026 to roughly 25% of total revenue by 2029; it does not currently believe planned industry capacity will outpace demand. UMC sees potential advantages in combining photonics with TFLN modulators and advanced packaging, and said interest extends beyond early partner, HyperLight.

Maintain Buy on better business recovery and new business engagement — We lower our 2027/2028 EPS estimate by 10%/8% reflecting prolonged weakness in consumer demand and potential new capacity ramp up delay due to supply chain long lead time. Yet we see better visibility for UMC on its better UTR and pricing trends as well as strong AI growth potential in the longer term. We keep our Buy rating with TP NT$143 (18X of our 2027/28 EPS estimate, vs 15x of 2027 previously).

Buy	
Price (28 Oct 26 13:30)	NT$128.00
Target price	NT$143.00↑
from NT$125.00	
Expected share price return	11.7%
Expected dividend yield	4.3%
Expected total return	16.0%
Market Cap	NT$1,608,972M
	US$49,626M

Price Performance
(RIC: 2303.TW, BB: 2303 TT)



Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	47,211	3.80	-23.0	33.7	4.3	12.8	2.2
2025A	41,716	3.34	-12.1	38.3	4.2	11.0	1.9
2026E	93,189	7.47	123.5	17.1	3.6	22.5	4.3
2027E	92,329	7.40	-0.9	17.3	3.4	20.1	4.3
2028E	105,177	8.43	13.9	15.2	3.2	21.6	4.9

Source: Powered by dataCentral

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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2303.TW: Fiscal year end 31-Dec

Price: NT$128.00; TP: NT$143.00; Market Cap: NT$1,608,972m; Recomm: Buy

Profit & Loss (NT$m)	2024	2025	2026E	2027E	2028E
Sales revenue	232,303	237,553	282,963	339,934	360,694
Cost of sales	-156,649	-168,647	-190,603	-217,149	-225,914
Gross profit	75,654	68,906	92,359	122,784	134,780
Gross Margin (%)	32.6	29.0	32.6	36.1	37.4
EBITDA (Adj)	**97,085**	**100,376**	**123,809**	**168,006**	**191,618**
EBITDA Margin (Adj) (%)	41.8	42.3	43.8	49.4	53.1
Depreciation	-45,472	-56,427	-59,571	-77,253	-90,866
Amortisation	0	0	0	0	0
EBIT (Adj)	**51,613**	**43,949**	**64,237**	**90,753**	**100,752**
EBIT Margin (Adj) (%)	22.2	18.5	22.7	26.7	27.9
Net interest	2,174	937	1,015	1,489	1,701
Associates	501	4,953	62,311	14,091	18,994
Non-Op/Except/Other Adj	1,932	-191	-24,501	1,349	1,349
Pre-tax profit	**56,220**	**49,648**	**103,063**	**107,682**	**122,797**
Tax	-9,113	-8,113	-10,209	-16,152	-18,420
Extraord./Min.Int./Pref.div.	105	182	336	800	800
Reported net profit	**47,211**	**41,716**	**93,189**	**92,329**	**105,177**
Net Margin (%)	20.3	17.6	32.9	27.2	29.2
Core NPAT	47,211	41,716	93,189	92,329	105,177

Per share data	2024	2025	2026E	2027E	2028E
Reported EPS ($)	3.80	3.34	7.47	7.40	8.43
Core EPS ($)	3.80	3.34	7.47	7.40	8.43
DPS ($)	2.85	2.49	5.56	5.51	6.27
CFPS ($)	6.32	7.44	14.28	13.34	15.61
FCFPS ($)	-0.55	3.54	9.53	5.85	8.04
BVPS ($)	30.11	30.18	35.57	37.36	40.21
Wtd avg ord shares (m)	12,425	12,485	12,479	12,475	12,475
Wtd avg diluted shares (m)	12,425	12,485	12,479	12,475	12,475

Growth rates	2024	2025	2026E	2027E	2028E
Sales revenue (%)	4.4	2.3	19.1	20.1	6.1
EBIT (Adj) (%)	-10.8	-14.8	46.2	41.3	11.0
Core NPAT (%)	-22.6	-11.6	123.4	-0.9	13.9
Core EPS (%)	-23.0	-12.1	123.5	-0.9	13.9

Balance Sheet (NT$m)	2024	2025	2026E	2027E	2028E
Cash & cash equiv.	105,000	110,660	158,928	162,086	193,875
Accounts receivables	33,343	31,274	44,395	48,445	51,025
Inventory	35,782	37,228	43,555	47,527	50,059
Net fixed & other tangibles	308,035	298,840	300,753	316,908	320,403
Goodwill & intangibles	0	0	0	0	0
Financial & other assets	88,039	100,993	183,146	194,183	202,118
Total assets	**570,201**	**578,996**	**730,777**	**769,150**	**817,480**
Accounts payable	7,633	9,170	14,597	13,582	13,582
Short-term debt	19,510	27,597	50,522	53,524	54,717
Long-term debt	55,533	45,372	50,122	55,134	60,648
Provisions & other liab	109,339	117,002	168,142	177,077	182,770
Total liabilities	**192,016**	**199,141**	**283,382**	**299,317**	**311,718**
Shareholders' equity	378,185	379,855	447,395	469,832	505,762
Minority interests	0	0	0	0	0
Total equity	**378,185**	**379,855**	**447,395**	**469,832**	**505,762**
Net debt (Adj)	**-29,957**	**-37,691**	**-58,284**	**-53,428**	**-78,510**
Net debt to equity (Adj) (%)	-7.9	-9.9	-13.0	-11.4	-15.5

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	33.7	38.3	17.1	17.3	15.2
PB (x)	4.3	4.2	3.6	3.4	3.2
EV/EBITDA (x)	15.4	15.0	11.7	8.3	7.2
FCF yield (%)	-0.4	2.8	7.4	4.6	6.3
Dividend yield (%)	2.2	1.9	4.3	4.3	4.9
Payout ratio (%)	75	74	74	74	74
ROE (%)	12.8	11.0	22.5	20.1	21.6

Cashflow (NT$m)	2024	2025	2026E	2027E	2028E
EBITDA	97,085	100,376	123,809	168,006	191,618
Working capital	-3,721	2,160	-14,021	-9,036	-5,112
Other	-14,843	-9,586	68,406	7,474	8,183
Operating cashflow	**78,521**	**92,949**	**178,194**	**166,444**	**194,689**
Capex	-85,408	-48,764	-59,275	-93,408	-94,361
Net acq/disposals	0	0	0	0	0
Other	1,803	-1,354	-76,683	-8,000	-6,000
Investing cashflow	**-83,605**	**-50,117**	**-135,959**	**-101,408**	**-100,361**
Dividends paid	-37,586	-35,784	-31,287	-69,892	-69,247
Financing cashflow	**-22,365**	**-36,991**	**6,368**	**-61,077**	**-61,740**
Net change in cash	**-27,449**	**5,841**	**48,603**	**3,959**	**32,589**
Free cashflow to s/holders	**-6,886**	**44,186**	**118,919**	**73,036**	**100,329**

Rev breakdown by node	2024	2025	2026E	2027E	2028E
14nm (%)	0	0	0	1	1
28nm (%)	34	37	36	46	47
45nm (%)	14	16	16	13	14
65nm (%)	16	17	18	14	13
90nm (%)	11	8	7	6	6
0.11/0.13um (%)	10	7	8	7	7
0.15/0.18um (%)	10	9	10	10	10
0.25/0.35um (%)	5	4	3	2	2
0.5um (%)	0	1	1	1	1

Rev brkdn by customer	2024	2025	2026E	2027E	2028E
Fabless (%)	na	na	na	na	na
IDM (%)	na	na	na	na	na
System (%)	na	na	na	na	na

Rev brkdn by geography	2024	2025	2026E	2027E	2028E
N. America (%)	na	na	na	na	na
Asia-Pacific (%)	na	na	na	na	na
Europe (%)	na	na	na	na	na
Japan (%)	na	na	na	na	na

Analyst items	2024	2025	2026E	2027E	2028E
Capacity - 8" equi. (K)	11,305	11,617	11,810	12,031	12,031
Shipment - 8" equi. (K)	7,617	8,618	10,362	10,768	10,768
Utilization rate (%)	67	74	88	90	90
Depreciation to Sales (%)	19	22	20	21	23
ASP (US$)	908	850	832	968	1,028

For definitions of the items in this table, please click here.

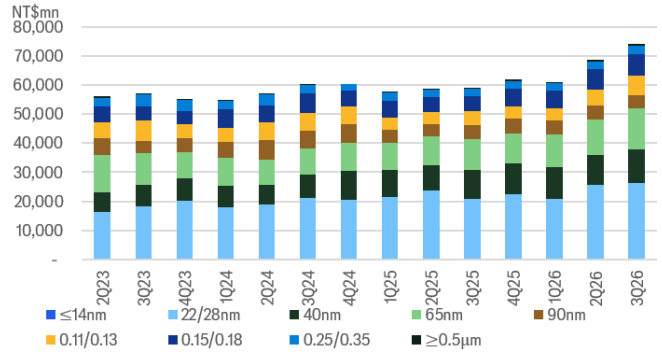
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Figure 1. UMC - 3Q26 Results Comparison

(NT$mn)	3Q26 Actual	2Q26 Actual	Q/Q	3Q26 Citi	Diff.	3Q26 Cons	Diff.	4Q26 Guidance	Citi Prior Est.	Cons Prior Est.
Revenue	74,239	68,733	8%	76,930	-3%	75,067	-1%	Volume +LSD QoQ; ASP remains firm	77,976	78,261
Gross profit	25,205	22,323	13%	26,906	-6%	25,991	-3%		28,154	27,589
Gross margin	34.0%	32.5%	+1.5 ppt	35.0%	-1.0 ppt	34.6%	-0.7 ppt	GM flat QoQ	36.1%	35.3%
Op. profit	18,643	14,950	25%	19,373	-4%	18,413	1%		20,586	19,933
OP margin	25.1%	21.8%	+3.4 ppt	25.2%	-0.1 ppt	24.5%	+0.6 ppt		26.4%	25.5%
Net income	16,434	42,260	-61%	18,212	-10%	16,997	-3%		19,364	18,420
EPS (NT$)	1.32	3.39	-61%	1.46	-10%	1.35	-2%		1.55	1.46

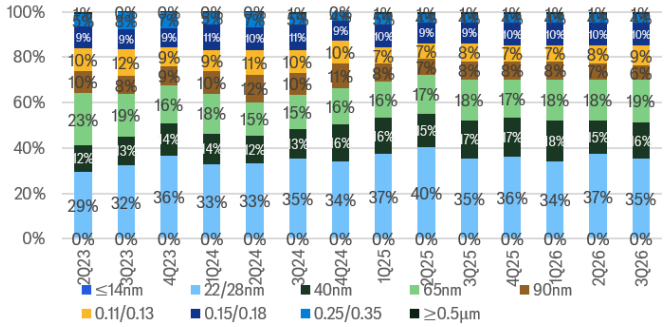
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Source: Citi Research, Bloomberg

Figure 2. UMC — sales by node



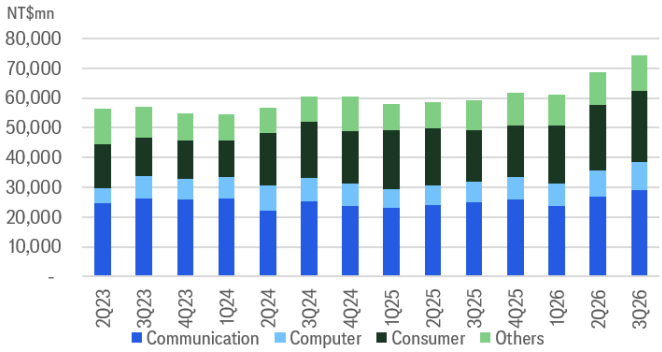
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Figure 3. UMC — sales mix breakdown by node



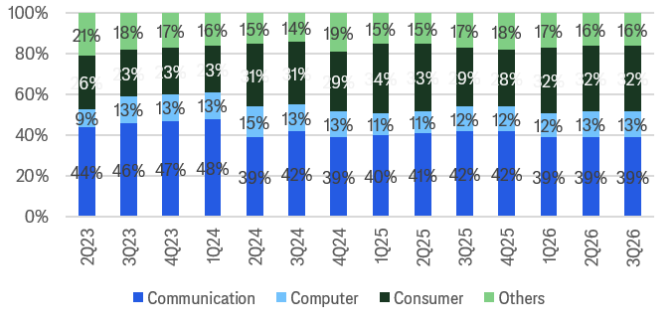
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Figure 4. UMC — sales by application



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Figure 5. UMC — sales mix breakdown by application



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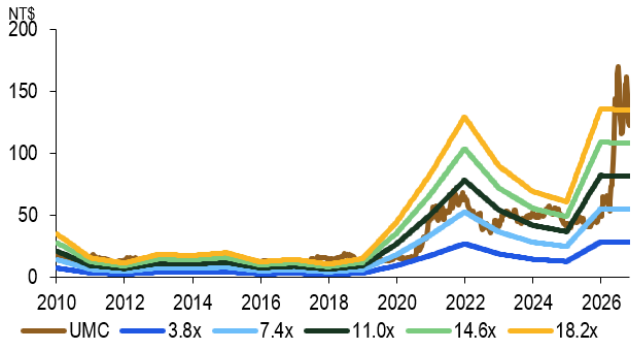
Figure 6. UMC – Estimates Revisions

	2026E			2027E			2028E		
(NT$mn)	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	282,963	284,677	-1%	339,934	345,658	-2%	360,694	367,980	-2%
YoY growth	19%	20%		20%	21%		6%	6%	
Gross profit	92,359	95,201	-3%	122,784	135,860	-10%	134,780	146,778	-8%
Opex	28,122	29,016	-3%	32,031	32,659	-2%	34,027	34,805	-2%
Operating profit	64,237	66,185	-3%	90,753	103,201	-12%	100,752	111,973	-10%
Pre-tax profit	103,063	105,567	-2%	107,682	120,416	-11%	122,797	134,462	-9%
Net income	93,189	96,008	-3%	92,329	103,153	-10%	105,177	115,092	-9%
EPS (NT$)	7.47	7.69	-3%	7.40	8.26	-10%	8.43	9.21	-8%
Gross margin	32.6%	33.4%	-0.8 ppt	36.1%	39.3%	-3.2 ppt	37.4%	39.9%	-2.5 ppt
Opex ratio	9.9%	10.2%	-0.3 ppt	9.4%	9.4%	-0.0 ppt	9.4%	9.5%	-0.0 ppt
Operating margin	22.7%	23.2%	-0.5 ppt	26.7%	29.9%	-3.2 ppt	27.9%	30.4%	-2.5 ppt
Net margin	32.9%	33.7%	-0.8 ppt	27.2%	29.8%	-2.7 ppt	29.2%	31.3%	-2.1 ppt

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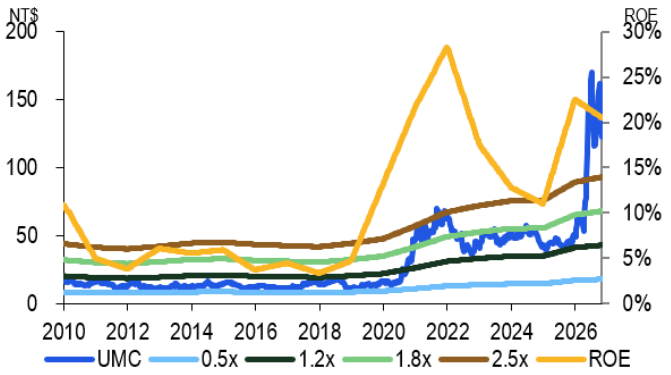
Figure 7. UMC – Forward P/E band



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Source: Citi Research, company data

Figure 8. UMC – Forward P/B band & ROE



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Figure 9. UMC – Forecast Summary

	2025				2026				2027							
NT$bn	*1Q*	*2Q*	*3Q*	*4Q*	*1Q*	*2Q*	*3Q*	*4QE*	*1QE*	*2QE*	*3QE*	*4QE*	*2025*	*2026E*	*2027E*	*2028E*
Revenue	57.9	58.8	59.1	61.8	61.0	68.7	74.2	79.0	80.8	84.8	88.2	86.2	237.6	283.0	339.9	360.7
COGS	-42.4	-41.9	-41.5	-42.9	-43.2	-46.4	-49.0	-51.9	-51.9	-54.3	-55.9	-55.1	-168.6	-190.6	-217.1	-225.9
Gross Profit	15.4	16.9	17.6	19.0	17.8	22.3	25.2	27.0	28.9	30.5	32.3	31.1	68.9	92.4	122.8	134.8
Operating Expense	-5.7	-6.1	-6.5	-6.7	-6.5	-7.4	-6.6	-7.6	-7.8	-8.1	-8.1	-8.0	-25.0	-28.1	-32.0	-34.0
SG&A expenses	*-2.2*	*-2.3*	*-2.3*	*-2.4*	*-2.5*	*-3.2*	*-2.7*	*-3.2*	*-3.3*	*-3.3*	*-3.2*	*-3.4*	*-9.2*	*-11.7*	*-13.2*	*-14.1*
R&D expenses	*-4.0*	*-4.2*	*-4.6*	*-4.9*	*-4.6*	*-4.7*	*-4.5*	*-5.0*	*-5.1*	*-5.4*	*-5.6*	*-5.3*	*-17.7*	*-18.9*	*-21.5*	*-22.9*
EBIT	9.8	10.8	11.1	12.2	11.3	14.9	18.6	19.4	21.1	22.4	24.2	23.0	43.9	64.2	90.8	100.8
Net Interest Income	0.3	0.4	0.1	0.2	0.1	0.3	0.3	0.3	0.4	0.4	0.5	0.2	-3.6	-3.8	-5.3	-5.8
Net Other Income	-0.7	-1.0	3.4	3.1	5.2	30.0	1.0	1.6	1.9	4.2	5.2	4.1	9.3	42.7	22.2	27.8
Pre Tax Profit	9.3	10.2	14.6	15.5	16.6	45.2	19.9	21.3	23.4	27.1	29.9	27.4	49.6	103.1	107.7	122.8
Tax Expense/(Credit)	1.6	1.3	-0.3	5.5	0.5	3.0	3.5	3.2	3.5	4.1	4.5	4.1	-8.1	-10.2	-16.2	-18.4
Net Profit	7.8	8.9	15.0	10.1	16.2	42.3	16.4	18.3	20.1	23.2	25.6	23.5	41.7	93.2	92.3	105.2
EPS (NT$)	0.62	0.71	1.20	0.81	1.29	3.39	1.32	1.47	1.61	1.86	2.05	1.88	3.34	7.47	7.40	8.43
Margins (%)																
Gross Margin	26.7	28.7	29.8	30.7	29.2	32.5	34.0	34.2	35.8	36.0	36.7	36.1	29.0	32.6	36.1	37.4
Operating Margin	16.9	18.4	18.8	19.8	18.5	21.8	25.1	24.5	26.1	26.5	27.4	26.7	18.5	22.7	26.7	27.9
Net Margin	13.4	15.2	25.3	16.3	26.5	61.5	22.1	23.2	24.8	27.4	29.0	27.2	17.6	32.9	27.2	29.2
Sequential Growth (%)																
Volume (000s)	2	11	3	-1	3	11	7	3	-5	2	0	0	13	20	4	0
Revenue	-4	2	1	5	-1	13	8	6	2	5	4	-2	2	19	20	6
Gross Profit	-16	9	4	8	-6	25	13	7	7	6	6	-4	-9	34	33	10
EBIT	-18	11	3	10	-8	33	25	4	9	7	8	-5	-15	46	41	11
Net Profit	-8	14	68	-33	61	161	-61	11	10	16	10	-8	-12	123	-1	14

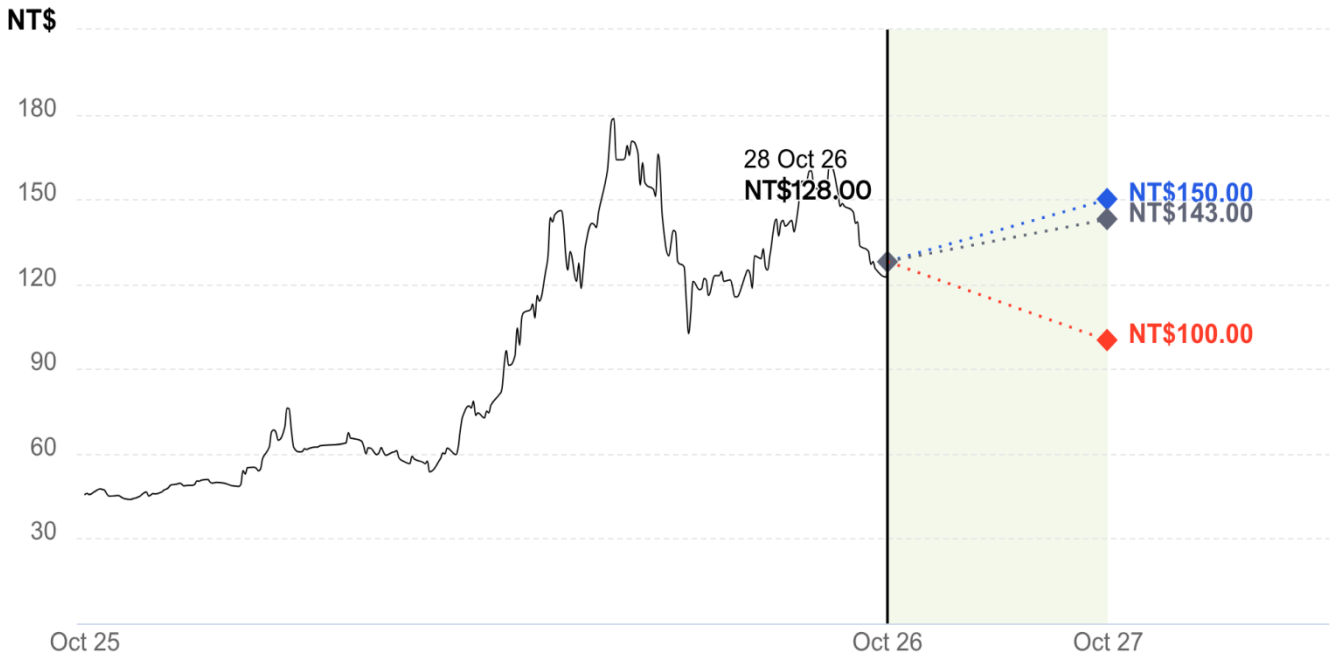
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Bull/Bear: UMC (2303.TW)

NT$150.00 ▲17% Upside | NT$143.00 ▲12% Upside | NT$100.00 ▼22% Downside



Spread 39pp
Current Price and expected returns (upside/downside) as of 28 Oct 2026

BULL Assumptions

- Higher-than-expected margin outlook
- Better-than-expected consumer electronic demand

BASE Assumptions

- Gradual UTR recovery
- Solid 28/22nm demand outlook

BEAR Assumptions

- Lower-than-expected margin outlook
- Weaker-than-expected consumer electronic demand

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UMC

Company description

United Corporation (UMC) is a leading global semiconductor foundry company. It provides high-quality IC fabrication services, focusing on logic and various specialty technologies to serve all major sectors of the electronics industry. UMC's comprehensive IC processing technologies and manufacturing solutions include Logic/Mixed-Signal, embedded High-Voltage, embedded Non-Volatile-Memory, RFSOI, and BCD. Most of UMC's 12-inch and 8-inch fabs with core R&D are located in Taiwan.

Investment strategy

We rate UMC shares a Buy. Overall inventory levels in PC, smartphone, and consumer electronics are currently healthy, and we see limited inventory correction downside. While macro uncertainties may linger, we believe UMC's niche technology offerings will help it outperform its trailing-edge foundry peers. We also expect transfer orders from TSMC and the AI-on-device trend to drive stronger demand, and see better UTR recovery for UMC going forward.

Valuation

Our target price for UMC of NT$125 is based on 18x 2027/28E EPS, which is higher than the midpoint of its 3-year forward PE. We believe our target multiple is justified by our belief that UMC should benefit from the robust demand in 22/28nm, TSMC's increasing order outflow opportunity, long-term opportunity in advanced packaging and photonics and that its niche technology offerings should help it outperform its trailing-edge foundry peers. Our target price equates to 2027E/28E PB of 3.8x/3.6x.

Risks

Key downside risks to our target price include: 1) a longer-than-expected demand recovery; 2) more competition from peers in 28nm; 3) worse-than-expected developments from the company's China investment; 4) a significant decline in smartphone end-demand; 5) poor contribution from Novatek's iPhone OLED business; and 6) fiercer ASP competition from Chinese peers.

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Appendix A-1

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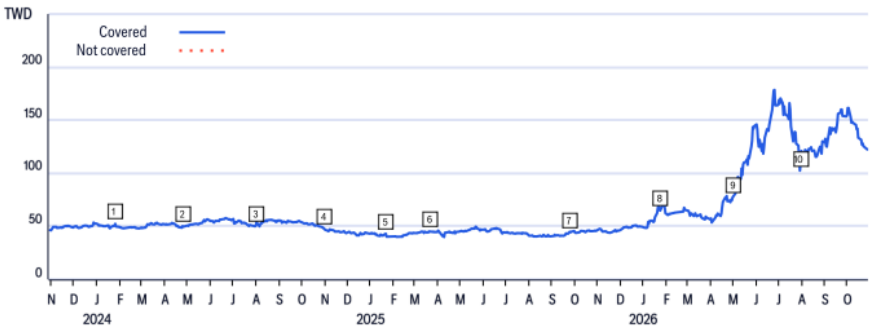
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UMC (2303.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Laura (Chia Yi) Chen



	Date	Rating	Target Price	Closing Price
1	25-Jan-24 18:23:32	*2	*52.80	52.30
2	24-Apr-24 11:22:16	*1	*58.00	50.20
3	31-Jul-24 09:49:55	1	*65.00	50.40
4	30-Oct-24 10:24:38	1	*55.00	48.15

	Date	Rating	Target Price	Closing Price
5	21-Jan-25 12:16:12	*3	*40.00	42.95
6	21-Mar-25 15:53:47	*1	*53.00	45.00
7	25-Sep-25 09:04:47	1	*57.00	44.30
8	23-Jan-26 10:47:04	1	*75.00	64.80

	Date	Rating	Target Price	Closing Price
9	30-Apr-26 00:11:01	1	*88.00	77.30
10	29-Jul-26 12:01:03	1	*125.00	102.50

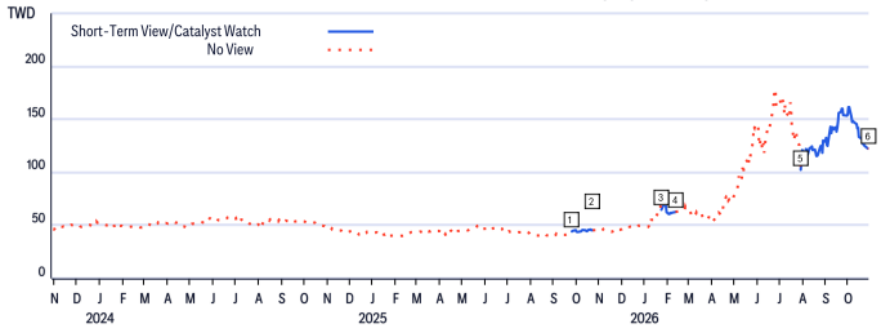
*Indicates Change

Rating/target price changes above reflect Eastern Time

UMC (2303.TW)

Short-Term View/Catalyst Watch Research

Analyst: Laura (Chia Yi) Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	25-Sep-25 05:04:47	Add STV	Upside	30 Days	44.30
2	24-Oct-25 14:20:08	Remove STV	Upside	30 Days	45.40

	Date	Action	Expected Direction	Duration	Closing Price
3	23-Jan-26 05:47:04	Add STV	Upside	30 Days	64.80
4	22-Feb-26 19:31:25	Remove STV	Upside	30 Days	62.80

	Date	Action	Expected Direction	Duration	Closing Price
5	29-Jul-26 08:01:03	Add STV	Upside	90 Days	102.50
6	27-Oct-26 21:34:32	Remove STV	Upside	90 Days	122.50

CW - Catalyst Watch , STV - Short-Term View

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% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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